nairobi securities exchange

Discover Opportunity

NSE Strategy 2025 – 2029

INSPIRING AFRICA'S TRANSFORMATION

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Table of Abbreviations and Acronyms

Abbreviation/ Acronym	Definition
AfCFTA	African Continental Free Trade Agreement
AI	Artificial Intelligence
APIs	Application Programming Interface
ASEA	African Securities Exchange Association
BD	Business Development
BHAGs	Big Hairy Audacious Goals Our Big Hairy Audacious Goals
BI	Business Intelligence
BMC	Branding Marketing & Communication
BPR	Business Process Re-engineering
CAGR	Compound Annual Growth Rate
CAPEX	Capital Expenditure
CBOs	Community Based Organisation
CCP	Central Counterparty
CDS	Central Depository & Settlement
CDSC	Central Depository & Settlement Corporation Limited
CEO	Chief Executive Officer
CFO	Chief Financial Officer
CGT	Capital Gains Tax
CIA	Chief Internal Auditor
CIR	Cost-to-income ratio
CIS	Collective Investment Scheme
CMA	Capital Markets Authority
COO	Chief Operations Officer
COVID-19	Coronavirus Disease 2019
CRM	Customer Relationship Management
CS	Company Secretary
DFIs	Development & Finance Institutions
DMA	Direct - to -market Access
E2E	End to end
EABL	East African Breweries Ltd
EOIs	Expressions of interest
ERP	Enterprise Resource Management
ESG	Environmental, Social, and Governance
ETFs	Exchanged-Traded Funds
EXCO	Executive Committee
FinTech	Financial Technology
GDP	Gross Domestic Product
GoK	Government of Kenya
HODs	Head of Department
HR	Human Resources
IaaS	Infrastructure as a Serivce
JDs	Job descriptions
JE	Job Evaluation
JG	Job-Grading
JSE	Johannesburg Stock Exchange
JV	Joint Venture

Abbreviation/ Acronym	Definition
LMS	Learning Management Solutions
MNOs	Multi-national Organisations
NLP	Natural Language Processing
NPS	Net Promoter Score
NSE	Nairobi Securities Exchange
OPEX	Operation Expenses
PE	Price - Earning Ratio
POLD	Public Offerings, Listing, and Disclosures
PPPs	Public-Private Partnerships
REITs	Real Estate Investments Trusts
SaaS	Software-as-a-Service
SGF	Settlement Guarantee Fund
SLAs	Service Level Agreement
SLB	Securities Lending & Borrowing
SMEs	Small and Medium Enterprises
SWOT	Strengths, Weaknesses, Opportunities & Threats
TATs	Turnaround Times
USSD	Unstructured Supplementary Service Data
VPs	Value Propositions
YOY	Year-on-Year

1. Executive Summary

The Nairobi Securities Exchange (NSE) is embarking on a visionary and transformative strategy designed to revolutionize Kenya's capital markets and position the NSE as a leading force in Africa's financial landscape. At the core of our strategy are ambitious and bold targets that align with our purpose of **"Inspiring Africa's Transformation"** and our commitment to unlocking the full potential of the African continent through innovative market solutions.

Strategic Direction and Goals

Our strategic plan focuses on achieving several audacious goals that will drive both market growth and operational excellence:

1. *Expanding the Retail Investor Base*: We aim to bring 9 million active retail investors into the market. This bold move will democratize access to capital markets, giving millions of Kenyans the opportunity to build wealth through investments. We will accomplish this by enhancing financial literacy, simplifying the investment process, and leveraging digital technologies to make markets more accessible to everyday Kenyans. Additionally, the exchange will recruit at least 500 NSE agents to ensure that we reach underserved Kenyans in every part of the country.
2. *Increasing the Number of Listed Companies*: With a target to list 40 new companies, the NSE is committed to attracting both large and small enterprises, including SMEs, to the exchange. By listing these companies, we will deepen market liquidity, provide a wider array of investment opportunities, and support the growth of local businesses. This will be achieved through campaigns that highlight the benefits of listing and through regulatory innovations that reduce barriers to entry for smaller firms.
3. *Achieving Operational Efficiency:* We are working towards a cost-to-income ratio of 40%, signifying a drive for operational excellence. By optimizing processes and utilizing cutting-edge technology, we aim to deliver services more efficiently and sustainably, ensuring long-term financial viability. Achieving operational efficiency will also call for review and re-engineering of processes and the structure as well as placement of the right people in the right jobs with the right tools and support to serve different client segments.
4. *Becoming a Top Employer*: NSE's internal transformation will focus on becoming a Top 20 Employer of Choice in Kenya. Through leadership development, a strong corporate culture, and employee engagement, we will attract top-tier talent, positioning ourselves as a hub for innovation and excellence in the financial sector.
5. *Diversifying Investment Products:* We plan to list 50 diverse funds, including exchange-traded funds (ETFs), real estate investment trusts (REITs), and other innovative products. This will allow our investors to diversify their portfolios and participate in both traditional and alternative investments, appealing to a wide range of risk appetites and investor profiles.
6. *Building a Beloved Brand:* The NSE aims to become one of the Top 10 Most Loved Brands in Kenya, leveraging on our values of Integrity, Excellence, Leadership, Boldness, and Innovation. We will build trust and brand loyalty through transparent practices, bold leadership, and consistent delivery of value to all market participants.

Purpose, Vision, and Mission

Our strategic goals are firmly rooted in foundational statements:

- ***Purpose: "Inspiring Africa's Transformation"*** – Our role goes beyond market transactions; it is about contributing to the socio-economic growth of Africa by creating opportunities for businesses and individuals to thrive.

- ***Vision: "To be the preferred value creation partner"*** – We seek to build enduring partnerships with businesses, investors, and stakeholders, focusing on long-term value creation and mutual growth.

- ***Mission: "Unleashing Africa's potential through innovative capital markets solutions powered by People, Partnerships, and Technology"*** – This mission underscores our commitment to harnessing the power of technology, human talent, and strategic collaborations to drive innovation and unlock the continent's vast economic potential.

Strategic Objectives

To achieve these bold goals, we have identified three core strategic pillars:

1. *Revitalizing Markets:* We will focus on reinvigorating Kenya's capital markets by:
   - Expanding retail participation through accessible platforms, partnerships and agency networks and investor education.
   - Developing new products, including sustainability-linked bonds, green finance, and impact investing tools that align with global trends toward responsible investing.
   - Engaging with a diverse range of companies to encourage more listings and enhance liquidity, making the market more dynamic and attractive to both local and international investors.
2. *Harnessing Technology:* In the fast-evolving world of finance, technology is a key driver. We will:
   - Implement cutting-edge digital solutions to improve market infrastructure, enhance transparency, reduce transaction costs, and drive organisational effectiveness.
   - Explore AI, blockchain and other emerging technologies to secure transactions, offer more innovative solutions and build a future-proof trading environment.
   - Create user-friendly platforms for investors, making it easier for them to engage in the market and access real-time data and insights.
3. *Optimizing Organizational Effectiveness:* Internally, we will:
   - Focus on operational efficiency, using data analytics and automation to streamline processes and reduce costs.
   - Invest in employee development, fostering a high-performance culture that is aligned with our values of Excellence and Leadership.
   - Streamline our policies, procedures, processes and both corporate and organisational structures to drive measurable improvements to our organisational effectiveness.

Commitment to Values

Throughout this journey, we remain steadfast in our commitment to our core values:

- *Integrity*: Upholding the highest standards of ethical behavior, transparency, and accountability in all our dealings.
- *Excellence*: Continuously striving for superior performance, setting the bar high for the industry and us.
- *Leadership:* Boldly leading the market with innovative solutions, becoming a thought leader in capital markets across Africa.
- *Boldness & Innovation:* Pushing boundaries and challenging the status quo to introduce groundbreaking financial products and services that cater to the evolving needs of investors and businesses alike.

We are not just planning for incremental changes; we are setting the stage for a revolution in Kenya's capital markets. By focusing on retail investor growth, increasing listings, operational excellence, and embracing technology, we will play a pivotal role in the transformation of Kenya's and Africa's economies. With our clear purpose of "Inspiring Africa's Transformation," we are positioned to be a key catalyst for economic growth and a trusted partner for businesses, investors, and governments, leading Africa into a new era of financial empowerment.

2. Background

2.1. Background: Key Considerations Behind the Strategy

Our bold strategy to transform Kenya's capital markets through increased retail participation, new listings, and innovative financial products is grounded in a thorough understanding of the current economic, social, and technological landscape. Both macro and micro-level factors were instrumental in shaping this ambitious strategy. These considerations, ranging from global economic trends to local market dynamics, provide the foundation upon which our strategy is built.

Macro-Level Considerations

1. Global Economic Shifts and Africa's Potential

- *Emerging Markets Focus:* Globally, investors are increasingly turning their attention to emerging markets, with Africa being seen as a key frontier for growth. The continent's rapidly expanding middle class, coupled with significant natural resources and technological advancements, presents an opportunity for capital markets to support economic growth and attract foreign investment.
- *COVID-19 Recovery and Resilience*: The global economic impact of the COVID-19 pandemic has reshaped investor preferences toward more resilient and diversified portfolios. Capital markets, especially in emerging economies like Kenya, need to provide a range of investment options to meet growing demand for resilience through diversified asset classes, including technology and sustainability-linked investments.
- *Sustainability and ESG Trends:* There is a growing shift toward Environmental, Social, and Governance (ESG) - aligned investments. Institutional investors and funds are increasingly demanding sustainable investment vehicles. This global trend has created an opportunity for the NSE to develop green finance products, including green bonds and impact investment instruments, which align with global investor priorities.

2. Technological Advancements and Digital Transformation

- *FinTech and Digital Innovation:* The rise of financial technology (FinTech) has dramatically transformed how financial markets operate. Digital trading platforms, blockchain technology, and the use of artificial intelligence in market analytics are now essential elements of modern exchanges. Our strategy aims to harness technology is in response to this global shift, ensuring that it remains competitive in an increasing digital market.
- *Mobile Penetration in Africa:* With the widespread adoption of mobile technology across Africa, Kenya has become a global leader in mobile banking and digital finance. This technological infrastructure provides a solid foundation for the NSE to attract retail investors through mobile-based trading platforms, expanding access to the capital markets for millions of individuals who previously lacked the tools to participate.

3. Regional and Global Integration of Capital Markets

- *Africa's Integration into Global Capital Markets:* The African Continental Free Trade Agreement (AfCFTA) aims to boost intra-African trade and investment. As African economies become more integrated, capital markets will play a pivotal role in facilitating cross-border investments and trade. This strategy considers the potential of regional integration, positioning us as a gateway for investors seeking exposure to the broader African economy.
- *Competing Exchanges*: NSE is aware of the growing competitiveness within Africa, with exchanges like the Johannesburg Stock Exchange (JSE), Lagos Stock Exchange, and others vying for regional and international investment flows. As such, NSE's strategic focus on innovation, technology, and efficiency aims to solidify its position as a leading exchange in East Africa, offering differentiated services that attract both local and international investors.

4. Demographic dividend

Africa is currently the youngest continent, with over 60% of its population under the age of 25. By 2050, the continent's working-age population (those between 15 and 64 years) is expected to grow to 1.1 billion people

against a total population of 2.5 billion representing 26% of the world's population. This surge in the working-age population will drive economic growth, creating a demographic dividend where the share of the labor force is larger relative to dependents (children and elderly). Kenya is projected to see a similar trend, with an increasingly urbanized, educated, and digitally connected youth population. With increased access to education, job opportunities, and urbanization, Kenya's middle class is expanding. This group represents a key target for capital markets, as they possess greater disposable income and a growing appetite for investment. The middle class is often characterized by increased financial literacy, demand for diversified investment products, and a focus on wealth generation and long-term financial planning.

These demographic changes will bring new investors with a different approach to investing.

- *Digital Natives and Tech-Savvy Investors:* The new generation of investors in Africa is digital first. With widespread access to cell phones and the internet, young Kenyans are more likely to engage with mobile-based financial platforms. This presents a significant opportunity for the NSE to digitally engage retail investors through user-friendly online platforms that facilitate stock trading and other forms of investment based on real-time data, educational and trading resources.
- *Demand for Innovative and Impact-Driven Products*: The younger generation of investors is not only looking for profit but also purpose. Millennials and Gen Z investors are increasingly concerned with sustainability and social impact, aligning their investment decisions with companies and funds that prioritize environmental, social, and governance (ESG) issues. NSE's focus on listing 50 diverse funds, including sustainability-linked products like green bonds and impact investment funds, is a direct response to this shift in investor preferences.
- *Access to Low-Cost Investment Products:* With more first-time and small-scale investors entering the market, there is increasing demand for low-cost investment products that offer flexibility and lower risk. Exchange-traded funds (ETFs), real estate investment trusts (REITs), and other products that provide diversification at lower entry points are becoming more popular, especially among young investors who may be more risk-averse or have limited capital.

5. Regulatory Environment and Government Support

- *Supportive Regulatory Framework:* The Government of Kenya has taken steps to create an enabling environment for the capital markets through supportive policies and regulatory reforms. The Capital Markets Authority (CMA) has been working toward easing regulatory barriers for listings, introducing financial products, and enhancing market integrity. This environment supports the NSE's goals of increasing listings and diversifying investment products.
- *Tax Incentives and Market Development Policies:* Government-led incentives to promote the listing of companies, particularly small and medium-sized enterprises (SMEs), and favorable tax policies for investors and issuers, create a fertile environment for NSE's growth strategies. Moreover, ongoing reforms aimed at deepening the financial market provide a solid foundation for the exchange's development goals.

6. Investor Sentiment and Retail Market Potential

- *Low Retail Investor Participation:* Currently, retail participation in Kenya's capital markets remains low, driven by limited financial literacy, access issues, and lack of trust in financial institutions. With an estimated 9 million Kenyans having the potential to invest but currently not engaging in the capital markets, the NSE sees significant potential in capturing this underserved market segment through investor education, simplified platforms, and accessible investment products.
- *Untapped Savings and Wealth Creation:* Kenya's high savings rates in informal sectors highlight an untapped pool of capital that could be redirected into the capital markets. By offering low-cost investment products and financial inclusion initiatives, the NSE can attract these savings into formal market channels, providing retail investors with a path to wealth creation while deepening market liquidity.

7. Challenges Facing Kenyan Enterprises

- *Capital Access for SMEs*: Small and medium-sized enterprises (SMEs) in Kenya form a sizable portion of the economy but face significant hurdles in accessing capital. The NSE's focus on listing 40 new

companies, many of which could be SMEs, addresses this gap by providing these businesses with access to growth capital. The development of alternative listing boards for smaller firms aligns with the NSE's objective of expanding the number and diversity of listed companies.

- *Corporate Governance and Transparency:* Corporate governance in Kenyan firms, especially family-owned businesses, and SMEs, remains a challenge. By offering corporate governance services and preparing companies for public listing, the NSE aims to improve transparency, boost investor confidence, and enhance the attractiveness of these companies to both local and international investors.

The development of NSE's strategy is informed by a blend of global trends, local market realities, and internal organizational needs. At the macro level, global shifts toward technology, sustainability, and regional integration create new opportunities for the exchange to expand its influence and attract investors. Meanwhile, at the micro level, the potential for retail market expansion, the need for SME capital access, and internal operational efficiency drive the specific goals laid out in this strategy. As the NSE embarks on this transformative journey, it is well-positioned to address these challenges and opportunities, ensuring that it remains a pivotal player in Africa's economic future.

2.2. Performance of the Nairobi Securities Exchange Over the Last Decade

Over the past decade, the Nairobi Securities Exchange (NSE) has experienced both peaks of robust performance and periods of decline, driven by various macroeconomic and microeconomic factors. The NSE's key metrics, such as the NSE 20 Share Index, market capitalization, and the participation ratio between local and foreign investors, reveal the broader trends affecting the market. Understanding these metrics provides context for why NSE's new strategy is now focusing heavily on local retail participation.

2.2.1. Key Performance Metrics

1. **NSE 20 Share Index:**

The NSE 20 Share Index is a key performance indicator that tracks the price movements of the top 20 blue-chip companies listed on the exchange. Over the past decade, the NSE 20 index has fluctuated significantly, with its highest performance occurring between 2014 and 2015, where the index was near 5,000 points. This was driven by high investor confidence, strong corporate earnings, and favorable macroeconomic conditions. However, recent years have seen significant drops. In 2023, for instance, the index dropped to as low as 1,416 points, highlighting a 10% retreat from earlier in the year, and marking one of the worst performances among African exchanges. This has since reversed with the share index improving to 1861 as at the end of October 2024.

2. **Market Capitalization:**

Market capitalization, which represents the total value of all listed shares, also followed a similar pattern. During its peak in 2015, the NSE's market capitalization was well above KES 2 trillion. However, by 2023, investor wealth had fallen sharply, with a loss of about KES 498 billion, bringing the market capitalization down to KES 1.487 trillion. Much of this decline has been attributed to factors such as foreign investor exits, depreciation of the Kenyan shilling, and a global economic downturn.

3. Foreign vs. Local Investor Participation:

Over the last decade, foreign investors have dominated the trading activity on the NSE, particularly in high-cap stocks such as Safaricom, Equity Bank, and East African Breweries Ltd (EABL). However, foreign investment has been highly volatile. For example, in 2023, the NSE saw significant foreign outflows, particularly due to a weakened shilling and a flight to safety by global investors, resulting in a net foreign outflow of KES 18.6 billion. This trend was exacerbated by global economic uncertainties and rising yields in safer markets, like the U.S. In contrast, local retail investor participation has been minimal, which has left the market vulnerable to foreign capital flight during periods of volatility. Figure 1 below shows the trading trends of local versus foreign investors:

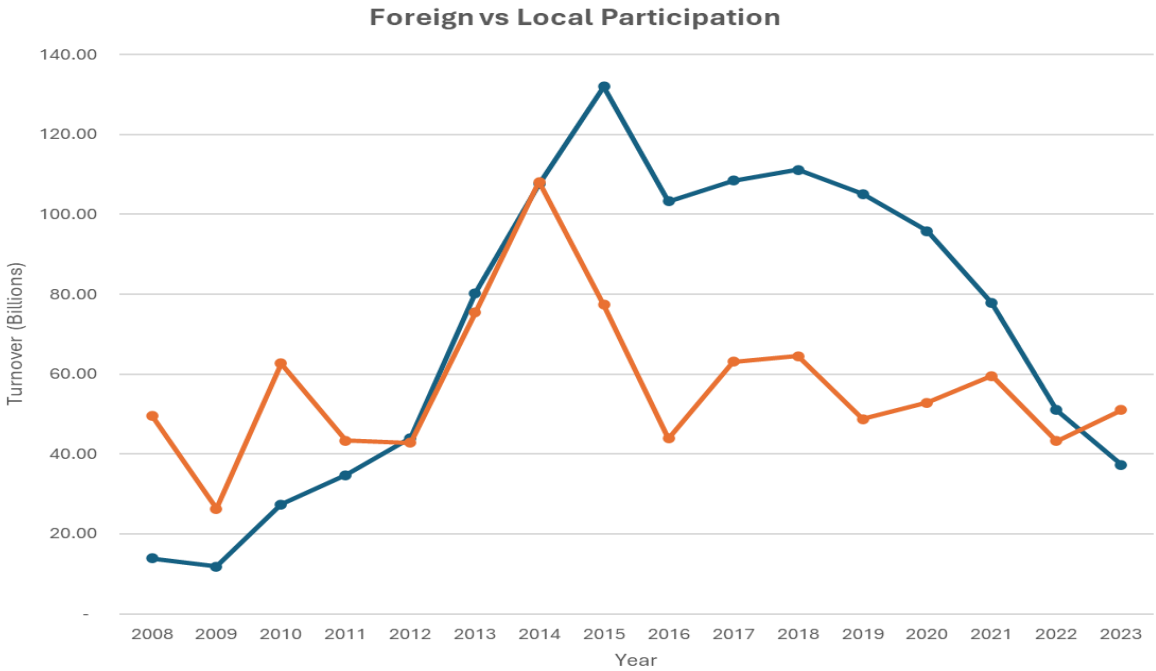


Figure 1: Turnover attributed to local vs. foreign investors since 2008

The flight of the local investors since 2014 has seen the NSE 20 share index drop steadily towards a low of 1416 points in the last ten years. This is shown in figure 2 below.

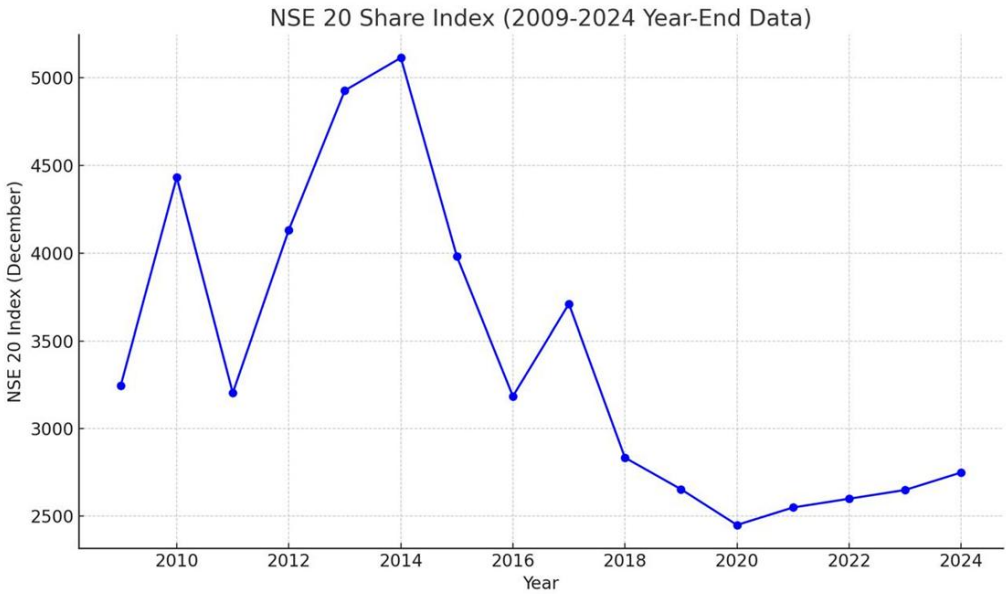


Figure 2: NSE 20 Share index mirroring local investor participation

The heavy reliance on foreign investors has resulted in high volatility for the NSE, particularly during global economic shocks. As seen in recent years, large-scale exits by foreign investors, particularly in 2022-2023, have

led to sharp declines in market indices and capitalization. The resulting vulnerability has underscored the need for the NSE to focus on developing a stable local investor base to ensure more consistent liquidity and reduce dependency on foreign capital.

The NSE's new strategy to target 9 million active retail investors is a response to this dynamic. By increasing local participation, the exchange aims to:

- Create a more stable source of market liquidity that is less affected by global economic cycles.
- Broaden the base of investment, tapping into Kenya's rising middle class and encouraging savings to be directed into capital markets.
- Foster a sense of ownership and trust in the local market, which could mitigate the sharp impacts of foreign investor exits and market volatility.
- Moreover, as technology improves, there are new opportunities to reach previously underserved retail investors via mobile trading platforms, leveraging Kenya's strong mobile penetration rates. This can provide easier access to the stock market for millions of Kenyans, potentially transforming the local capital market landscape.

2.3. Strengths, Weaknesses, Opportunities and Threats Analysis

1.1. Internal Operating Environment.

We reviewed our internal current state to understand areas where we needed to improve our performance to meet the targets set out in this strategy. We have in the last ten years built distinctive products, programs and solutions that need to be enhanced and deployed to drive the impact we aim to achieve by 2029.

1.1.1. Strengths & Weaknesses

Factor	Strengths	Weaknesses
Brand name and market positioning	The NSE has a well-respected brand name and brand recognition as a leading exchange in Africa. The exchange is also licensed by the Capital Markets Authority (CMA).	- The brand name is perceived to be elitist. It does not appeal to the retail investor who believes that it is complicated to invest in the exchange. - Persistent low liquidity and trading volumes especially in equity and derivatives. - Significantly undervalued counters (Buffet's indicator – Market Cap/GDP - at 12%) - Confidence crisis due to collapse of market intermediaries and listed companies. - Dependence on the market ecosystem to access investors. - Subdued market activity due to lack of new listings. - Weakening financial performance due to rising costs of operations against static revenues. - Sub-optimal pricing of products, programs, and solutions.
Government and other stakeholders support	GoK sees the exchange as an important part of the capital markets and is seeking to list public companies on the exchange as well as streamline the investment process. Similarly, the CMA is committed to supporting investments at the NSE.	Despite support from government and regulators the ability to attract quality listings are beyond the control of the NSE.
Professional, experienced, and supportive board	Board members are experienced in the capital markets and represent a wide variety of professional skills sets and experience that are instrumental to the implementation of the strategy.	The poor implementation of the previous strategy because of COVID-19 meant that these skills and expertise could not be utilized to their fullest extent.
Products, Programs and Solutions	NSE has evaluated and implemented solutions geared towards meeting investor needs through a diversified portfolio as well as offering businesses	Most of the products, programs and solutions have not yielded the returns that were expected due to poor implementation, external factors, and poor marketing.

	in Kenya and opportunity to raise capital.	
Technology Platforms	The NSE's technology platforms have proven to be dependable, ensuring a high level of availability.	These platforms may not meet the future needs of the NSE as more retail investors enter the exchange. Additionally, the total cost of ownership of these platforms is remarkably high where there are other solutions that may be cheaper to own and are not capital intensive.
Collaborations and partnerships with other African exchanges	The NSE is a member of the African Securities Exchange Association and has been recognized as a most innovative exchange in Africa.	As a member of ASEA, the NSE has not utilized the opportunity to encourage cross-listings and other forms of collaboration that would offer investors opportunities in leading companies across Africa.
Organisational Effectiveness and Talent	The NSE has an experienced capital markets team. The organisation is ready for change.	- The organisational structure is not aligned to the strategic intent of the NSE. - The job descriptions are not fit for purposes affecting career growth and leadership development. - The organisational processes are unnecessarily bureaucratic slowing down decision-making and collaboration across functions. - Silos and internal competition leading to sub-optimal outcomes. - Poor strategic focus leading to low accountability and poor resource allocation. - High cost-income ratio due to organisational ineffectiveness and high costs of technology. - Low trust working environment.

Table 1: Strengths & Weaknesses

The strengths and weaknesses identified in Table 1 above will be addressed in this strategic period to support growth of the NSE into an agile and efficient exchange firm that will support the much-needed access to capital and capital solutions for businesses in Kenya and investment options for investors.

1.1.2. Opportunities & Threats

Factor	Opportunity	Threat
Demographic Dividend	By 2030, Kenya's population is expected to hit 57million, at least 29 million of these individuals will be in employment with an increasing income per capita and therefore ability to save and invest. An opportunity exists of mobilizing savings and investments from local retail investors. The participation of the local retail investor dipped significantly for the last ten years leaving the market vulnerable to foreign investors who react faster to political uncertainty.	Challenging macro-economic and policy environment may affect the growth rate of the income per capita reducing anticipated growth. Low financial literacy and awareness may slow down the uptake of investment opportunities. Additionally, Geopolitics and Political instability has a disproportionate effect on the exchange.
Technology	Advances in technology, especially mobile telephony, and a well-developed mobile telephony network offers an opportunity for more efficient and cost-effective ways to serve investors. Fintech, which can offer 'direct-to-market access' (DMA) will increase the participation of the technology-savvy population who are used to real-time fulfilment. Emergence of AI, Blockchain, Big data and robotics offering better services and more informed trading opportunities will draw in more investors to the exchange. The exchange can also invest in tech solutions such as digital assets, tokenization, exchange-as-a-service' among others.	Costs associated with deploying appropriate technology may slow down the adoption of these technologies.
National and County Government solutions	The opportunity to meet public sector financing needs such as Public-Private Partnerships (PPPs), Pending Bills, Affordable Housing, county projects etc.	The relevant legal and regulatory requirements may slow down the implementation of these solutions.
Corporate and SME solutions	Repurposing current programs, products, and solutions to better meet the needs of the private sector. Introduction of innovative solutions such as working capital, pre-settlement support, Lombard loans, depositary notes and invoice discounting targeted at the private sector.	

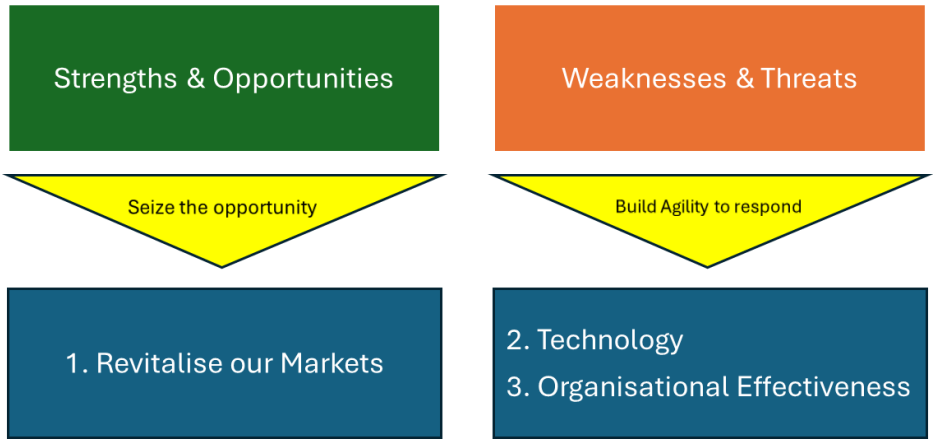
Fees and pricing	Based on the Public Offerings, Listing, and Disclosures (POLD) Regulations (2023), there is an opportunity to review and reprice fees, costs and levies for equities, fixed income and derivatives leading to higher revenues for the NSE.	Higher trading costs may discourage local retail investors from joining the market.
Organisational Effectiveness and technology to support efficiency.	This strategy seeks to improve organisational effectiveness through the transformation of the NSE operating model, technology platforms and workforce planning. These will include the development of an appropriate corporate and organisational structure, re-engineering of processes and the establishment of new ways of working that supports a high-performing team. These changes will lay the foundation for an effective performance management framework that will encourage innovation and reward high productivity.	Resistance to change and failure to achieve the envisaged transformation if it is not supported by adequate resources and robust implementation plan.
Sustainability and ESG agenda	The growing interest of both investors and businesses seeking capital offers an opportunity to develop products that support these agendas. These include green bonds, gender bonds, among others. There is also an opportunity for the NSE to champion the adoption of these practices by listed companies.	
Rebranding and reposition the NSE	Opportunity to demystify the NSE and attract more listing and investors to the market. This will include re-evaluating the listing requirements, automating the self-assessments to support self-listing, and simplifying listing requirements. The NSE will need to establish DMA and deploy an agency network to engage retail investors across the country, while enhancing service delivery for local and foreign institutional investors.	
Cross-listings	An opportunity to encourage cross-listing between exchanges in Africa. This would consist of listed companies in the NSE listing in other exchanges and vice versa.	

Table 2: Opportunities & threats

The review of the external and internal operating environments has been used as a basis to develop our key interventions in revitalising the exchange. We are keen to develop an agile and responsive organisation that will innovate around access to capital for both the private and public sectors.

2.4. Our Strategic Hypothesis and Direction

A review of the external and internal operating environment has revealed significant opportunities to transform the NSE to serve the needs of investors and businesses in Kenya and across Africa. The SWOT analysis reveals that we are at the cusp of revolutionizing the way we create value for our stakeholders.



To pursue this strategic direction the strengths and opportunities call us to revitalize our markets, while the weaknesses and threats call us to build organisational effectiveness and utilize technology to ensure that we are agile and responsive to our changing operational environment. Figure 1 depicts this relationship.

Based on this hypothesis we have developed a strategic direction that will bring a significant step change in the way we interact with our markets as well as how we organize ourselves internally and use technology to drive efficiency and cost-effectiveness. Figure 2 below outlines what our strategic focus will be:

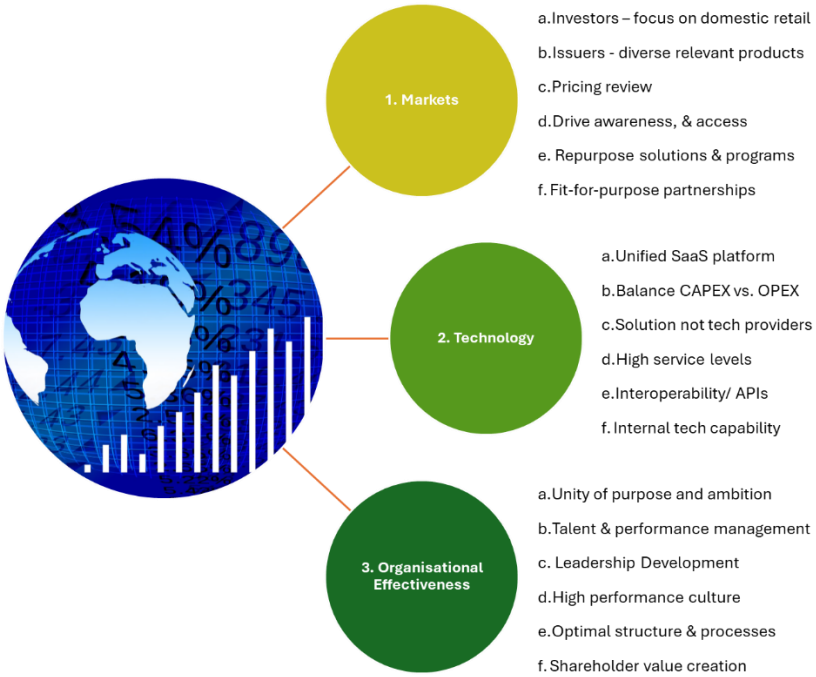


Figure 4: Key strategic pillars defining our strategic direction

We strongly believe that one of the key actions to revitalize our markets is to increase the number of active retail local investors by ensuring that we make trading transparent and accessible to the *'mwananchi.'* This will have the effect of stabilizing the market and driving up trading revenues. We will also focus on developing products that are relevant to the needs of corporates and SMEs in the country. To achieve these outcomes will require driving investor awareness in the market, rebranding the NSE as a preferred investment option and build on our partnerships to provide an ecosystem that offers a large variety of investment opportunities.

Revitalizing the market will in turn require that we drive organisational effectiveness backed by reliable, cost-effective technology platforms to support the market and the operations of the NSE.

The next section details how we will achieve this ambitious strategy to bring at least 9 million active retail investors into our market.

Figure 3: Our strategic direction based on the current state assessment

3. Strategic Imperatives

This chapter details our strategic ambitions expressed as our purpose, vision, and mission statements. The ambition is underpinned by our values and value propositions captured in our business model canvas. The value propositions outline what we intend to be world-class in, what we will be known for and what we will use to differentiate our services in the sector.

3.1. Our Strategic Ambition

3.1.1. Purpose Statement

Our purpose statement is: **Inspiring Africa's Transformation,'** which conveys a bold vision to position the NSE not merely as a marketplace but as a catalyst for broader socio-economic progress in Africa. It includes:

1. *Empowering Economic Growth:* By facilitating access to capital for businesses, we enable companies to grow, innovate, and create jobs. This drives economic empowerment across Africa, supporting sustainable development and helping economies become more resilient and less dependent on external aid. Our purpose statement calls us to start this Africa-wide growth in Kenya, where we will seek to empower economic growth at individual, household, private and public sectors.
2. *Encouraging Financial Inclusion:* With a goal of bringing 9 million active retail investors to the market, we aim to democratize access to investment opportunities. By making the market accessible to more individuals, including those who traditionally have not invested, we will foster a culture of financial literacy, savings, and wealth creation among everyday Africans.
3. *Supporting Africa's Businesses to Thrive:* By listing 40 new companies, we aim to become a growth platform for African businesses of all sizes. Through capital raised on the exchange, businesses can invest in expansion, innovation, and sustainability, thus fueling sectors critical for Africa's future—such as agriculture, healthcare, and technology.
4. *Sustainable Development and Innovation:* The focus on technology and a commitment to offering innovative capital market solutions reflects our role in driving progress that aligns with Africa's developmental priorities. This includes addressing challenges such as climate change, infrastructure gaps, and digital transformation, which are key for Africa's sustainable future.
5. *Transforming Perceptions of African Markets:* By aiming to become a Top 10 most loved brand in Kenya and a Top 20 employer of choice, we will demonstrate a commitment to building trust and a powerful reputation. This will attract global investors and solidify Africa's place as a viable and attractive investment destination, transforming global perceptions of African capital markets.

"Inspiring Africa's Transformation" represents our timeless aspiration to function as a pivotal force that drives change across sectors, communities, and economies throughout Africa, laying the foundation for a prosperous and self-sustaining future for the continent.

3.1.2. Vision Statement

Our vision statement is **"To be the preferred value creation partner".** Our vision statement emphasizes our goal to become the go-to platform for generating and maximizing value for all our stakeholders, including investors, businesses, and the broader economy. The vision entails:

1. *Building Trust and Reliability:* By aiming to be "preferred," we are committing to building trust and becoming a reliable institution that stakeholders consistently choose over other platforms. This implies delivering a dependable, transparent, and efficient marketplace where investors, companies and government can achieve their goals with confidence.
2. *Maximizing Value for Investors:* For retail and institutional investors, "value creation" means offering a broad spectrum of profitable investment opportunities and innovative products. This will include expanding asset classes, improving market liquidity, and reducing transaction costs, which would help investors achieve optimal returns on their investments.

3. *Supporting Business Growth:* As a "partner" in value creation, we aim to serve businesses by facilitating access to capital, which is critical for growth, expansion, and innovation. By connecting companies with investors, we will empower businesses to scale, thus contributing to job creation and economic resilience.
4. *Fostering Economic and Social Impact:* The focus on "value creation" extends beyond financial returns to encompass positive social and economic impacts, aligning with broader African development goals. Through initiatives like financial inclusion, small business support, and ESG (Environmental, Social, and Governance) principles, we will create value that benefits society at large.
5. *Becoming a Strategic Partner for Africa's Growth*: The term "partner" indicates a collaborative, strategic relationship with various stakeholders, including governments, regulators, and financial institutions. By working together to create a thriving, dynamic market ecosystem, the NSE can be instrumental in transforming Africa's financial landscape and stimulating long-term economic growth.

"To be the preferred value creation partner" reflects our aspiration to go beyond being just a financial exchange. We envision ourselves as a collaborative, value-driven institution that catalyses growth, prosperity, and sustainability for our stakeholders, making it indispensable for Africa's transformation. We will work to achieve this vision in this and the next strategic periods.

3.1.3. Mission Statement

Our mission statement is: **"Unleashing Africa's potential through innovative capital markets solutions powered by People, Partnerships, and Technology"** reflects our dedication to driving Africa's development by leveraging creative and advanced financial solutions. Here's a closer interpretation of its components:

1. *Unleashing Africa's potential*: This part of the mission speaks to our commitment to unlocking Africa's vast, untapped resources—its human capital, natural assets, and growing markets. We aim to be a catalyst for the continent's growth by creating pathways for companies, investors, and communities to realize their full potential through the opportunities that capital markets provide.
2. *Innovative capital markets solutions:* This phrase highlights our focus on introducing groundbreaking financial products, services, and market models tailored to Africa's unique needs. Innovation includes digital trading platforms, new asset classes, socially responsible investing products, or financial products for small and medium-sized enterprises. These solutions will support growth, diversify investment options, and help address specific challenges such as limited access to funding.
3. *Powered by People*: People are at the core of our mission. We will prioritize a skilled, knowledgeable, and customer-focused team that understands the diverse needs of African markets and stakeholders. Additionally, it points to our role in fostering financial literacy and inclusion, ensuring that a wider population can engage with and benefit from capital market opportunities.
4. *Powered by Partnerships:* This element emphasizes the importance of collaboration. By working with government entities, regulators, stockbrokers, investment banks, custodians, fund managers, CDSC, other stock exchanges, financial institutions, development agencies, and private sector partners, we will achieve greater impact. Partnerships allow us to combine resources, share expertise, and expand our reach across Africa, enhancing our ability to develop resilient and inclusive markets.
5. *Powered by Technology*: Technology is a critical enabler of innovation and expansion in modern capital markets. Through technology, we will enhance trading efficiency, improve transparency, and broaden access for retail and institutional investors alike. Advanced technology will also support data analytics, cybersecurity, and real-time reporting, which are essential for modernizing African markets and making them competitive on a global scale.

This mission statement underscores our goal of becoming a transformative force in Africa by creating accessible, innovative, and inclusive capital markets.

3.1.4. Our Values

The values of Integrity, Excellence, Leadership, and Boldness & Innovation set a foundation for our culture and guide how we operate to fulfill our mission and vision. Here is an interpretation of each value in the NSE's context:

1. *Integrity*: Integrity is central to building trust in the capital markets. For us, this means adhering to the highest standards of honesty, transparency, and ethical practices in all interactions and transactions. Integrity ensures that investors, companies, and partners can rely on us as a fair and trustworthy marketplace. It underscores the importance of regulatory compliance, accurate financial reporting, and protecting the interests of all stakeholders, fostering long-term credibility and reliability in the market.
2. *Excellence*: Excellence reflects our commitment to delivering superior quality in our services, operations, and overall performance. This value drives us to consistently meet and exceed the expectations of investors, listed companies, regulators, and other stakeholders. Excellence can be seen in efforts to optimize processes, continuously improve technology platforms, and provide outstanding customer service. By setting ambitious standards, we aim to inspire confidence and attract both local and international participants to its marketplace.
3. *Leadership*: As one of Africa's leading capital markets, we embrace leadership to set the tone for growth, best practices, and innovation across the continent. This value encourages us to pioneer new initiatives, drive positive change, and be a role model for other African exchanges. Leadership also involves advocating for policies that promote financial inclusion, sustainable investment, and economic resilience. By taking a proactive stance in policy, market education, and innovation, we will position ourselves as a forward-thinking, influential entity in Africa's financial ecosystem.
4. *Boldness & Innovation*: Boldness & Innovation reflects our ambition to break new ground and adopt creative solutions that advance Africa's capital markets. This value encourages us to take calculated risks, explore new investment products, embrace digital transformation, and adapt to the rapidly changing financial landscape. Boldness drives us to lead on initiatives that may be new or untested in the African context, while innovation ensures that these efforts are both strategic and sustainable. This value supports our mission to bring transformative changes to the continent's markets and attract a new generation of investors.

Together, these values position us as a resilient, forward-looking institution that serves as a dependable partner for investors and companies, promoting a vibrant and inclusive capital market ecosystem that is essential to Africa's growth and transformation.

3.1.5. Our Business Model Canvas

The Business Model Canvas simplifies our strategy by breaking it down into fundamental components, making it easier to communicate, align, and execute. It will serve as a dynamic framework to visualize how all aspects of our strategy—value creation, resources, partnerships, and revenue generation—work together to achieve our mission and vision in line with our purpose and values.

Figure 5 shows our business model canvas that clarifies our value propositions; identifies key stakeholders and relationships; highlights key resources and activities; revenue streams and resource allocation and cost structure. These are explained in detail the section that follows.

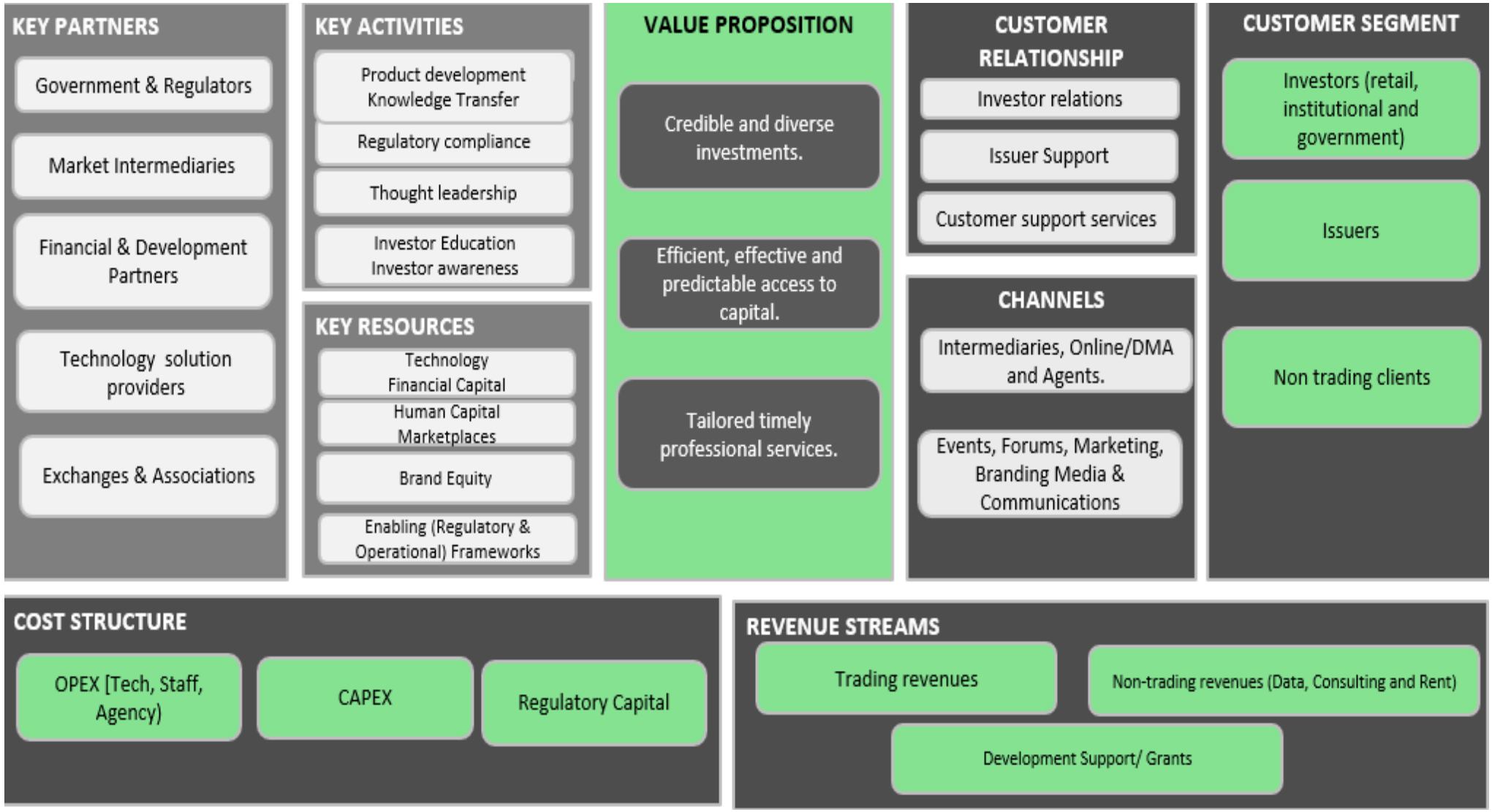


Figure 5: NSE Business Model Canvas

The key components of our business model are outlined below.

1. *Customer Segments:* The primary customer segments are 'Investors (retail, institutional, and government)' and Issuers. This reflects a two-sided market where the exchange connects those looking to invest (demand side) with companies and entities seeking to raise capital (supply side). Additionally, we will aim to improve our services to the non-trading clients who include our tenants, consulting, and technology clients.
2. *Value Propositions*: Our value proposition consists of credible and diverse investment opportunities, efficient and predictable access to capital, and tailored, timely professional services. We are committed to providing reliable, varied investment options and ensuring that capital flows smoothly to where it is needed, creating value for both investors and issuers. We will also build excellent service offerings for our non-trading clients to ensure that we grow revenues from these clients to 60% of the revenues generated by the NSE.
3. *Customer Relationships:* We will maintain our relationships primarily through Investor Relations and Issuer Support. These services are designed to build trust and offer support tailored to the needs of investors and issuers, fostering a positive experience and engagement across all customer segments.
4. *Channels:* We will reach our customer segments through Online Trading, DMA (Direct Market Access), Agents, and Intermediaries. These channels allow for efficient and convenient market access, ensuring that investors and issuers can participate in the market from various access points, both directly and through intermediaries.
5. *Key Partners:* Our main partners include Government & Regulators, Market Intermediaries, Financial & Development Partners, Technology Solution Providers, and Exchanges & Associations. These partnerships are essential for regulatory compliance, market operations, technology infrastructure, and expanding access to markets. For example, collaborating with regulators ensures that we operate within legal frameworks, while technology providers enhance trading platforms and operational technology to drive efficiency.
6. *Key Activities:* Our core activities include Product Development, Knowledge Transfer, Regulatory Compliance, Thought Leadership, Investor Education, and Investor Awareness. These activities enable us to support market growth, ensure a strong regulatory environment, and educate stakeholders. Product development and investor education are crucial for engaging new investors and introducing innovative financial products that meet market needs.
7. *Key Resources*: Our key resources include Technology, Financial Capital, Human Capital, Marketplaces, Brand Equity, and Enabling Frameworks. Technology is essential for trading platforms, while financial and human capital drive operational effectiveness. Brand equity helps establish trust with investors and enabling frameworks (regulatory and operational) support market stability and compliance.
8. *Cost Structure:* Our main costs include OPEX (Operational Expenditures such as tech, staff, and agency costs), CAPEX (Capital Expenditures), and Regulatory Capital. This structure shows a significant investment in technology and human resources to maintain efficient operations and compliance, which aligns with our focus on operational excellence.
9. *Revenue Streams*: The NSE generates revenue through Trading Revenues (transaction fees from trading activities) and Non-trading Revenues (such as consulting services, data services and rental income). The diversification of revenue sources is crucial for financial stability and growth, reducing reliance solely on trading fees.

Our BMC aligns with our focus on building a value-driven institution that supports economic growth by connecting investors with capital needs through a well-regulated, innovative, and accessible platform. The focus on partnerships, technology, investor education, and diverse revenue streams aligns with its mission to "Unleash Africa's potential" and supports our vision of being the "preferred value creation partner." This model demonstrates a comprehensive approach to balancing operational efficiency, customer focus, and sustainable revenue generation, setting a solid foundation for our long-term strategy.

3.2. Our Strategic Objectives for 2025 – 2029

Our strategic objectives have been developed from the current state assessment, our ambition and our big hairy audacious goals. We are excited by the possibilities presented to us by our operating environment and the growth opportunities presented by our country and our continent.

3.2.1. Our Big Hairy Audacious Goals

Our Big Hairy Audacious Goals (BHAGs) are our ambitious targets that aim to inspire and guide the organization toward substantial transformation. Figure 6 shows what these goals are:

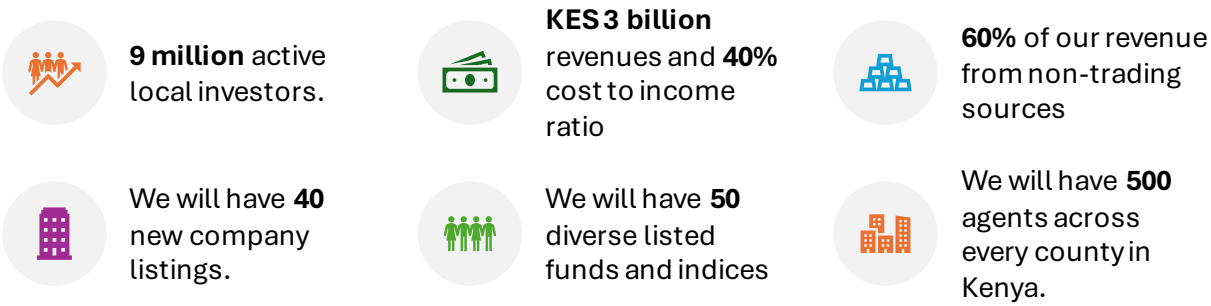


Figure 6: Our BHAGs

1. *9 Million Active Retail Investors:* This goal highlights our ambition to significantly increase participation from local retail (individual) investors. The target of 9 million active retail investors indicates a desire to democratize access to the market, promoting financial inclusion and enhancing capital market participation across Kenya and potentially the broader African region. Achieving this goal would require extensive investor education, simplified onboarding processes, and accessible trading platforms. This goal targets one-third of Kenya's working population aged between 18 and 64, which current stands at 32 million. This working population is expected to grow from the current 51% of the total population to 54% by 2030. Additionally, Kenya's GDP per capita in PPP terms is expected to grow from the current $6323 to $8469 affording more Kenyan households savings and investment capability. We are positioned to reap the demographic dividend of a young, urbanised and educated population by repositioning the NSE to attract local retail investors.
2. *40 Listed Companies:* The goal of listing 40 new companies on the NSE emphasizes our focus on expanding the range of investment opportunities. Increasing the number of listed companies would diversify the market offerings, provide investors with more choices, and support the growth of local businesses. This also reflects our role as a vital platform for companies seeking capital to fuel growth and innovation.
3. *50 Diverse Listed Funds*: This goal points to our intention to broaden our product offerings by including a variety of funds—such as mutual funds, exchange-traded funds (ETFs), and other managed funds. We will focus on catering to various investor preferences, risk tolerances, and investment objectives. Offering 50 diverse funds will attract a wider audience, including those interested in managed investment options.
4. *Achieving a 40% Cost-to-Income Ratio against a revenue of KES 3B by 2029*: A cost-to-income ratio of 40% signifies our goal of improving operational efficiency and financial sustainability. This target would require optimizing expenses relative to revenue, through streamlined operations, automation, and careful resource allocation.
5. *Top 20 Employer of Choice in Kenya*: We aim to become one of the most desirable workplaces in Kenya, which involves attracting, retaining, and developing top talent. Being a "Top 20 Employer

of Choice" indicates our commitment to a positive work culture, career development, and competitive compensation, aligning with our focus on "People" as a core pillar of its mission.

6. *Top 10 Most Loved Brand in Kenya*: This goal reflects our ambition to enhance our brand appeal and public perception. By becoming a "Top 10 Most Loved Brand," we aim to build trust, recognition, and a strong reputation among the general public. This would require strategic marketing, community engagement, and maintaining high standards of integrity and transparency.

These BHAGs collectively reflect our commitment to growth, inclusivity, operational excellence, and brand strength. They are ambitious targets that, if achieved, would position the NSE as a dynamic, inclusive, and highly regarded financial institution in Kenya and across Africa. These goals align with our purpose of "Inspiring Africa's Transformation" and vision to be the "preferred value creation partner."

3.2.2. Strategic Objectives

Our strategic objectives are derived from the BHAGs and the current state assessment. The strategic objectives we have chosen are aimed at ensuring that we focus on what truly matters. We have chosen to make the 'tip of our spear' the revitalisation of markets, this is a commitment that for the next five years we will focus on driving growth of the participation of local retail investors in our exchange. We believe that this tip of the spear will inspire the development of investment products, programs and solutions that best serve our investors by providing a diverse variety of investment opportunities while offering businesses and the government an avenue where they can raise capital for investment and growth. The diagram below outlines an overall view of our strategy.

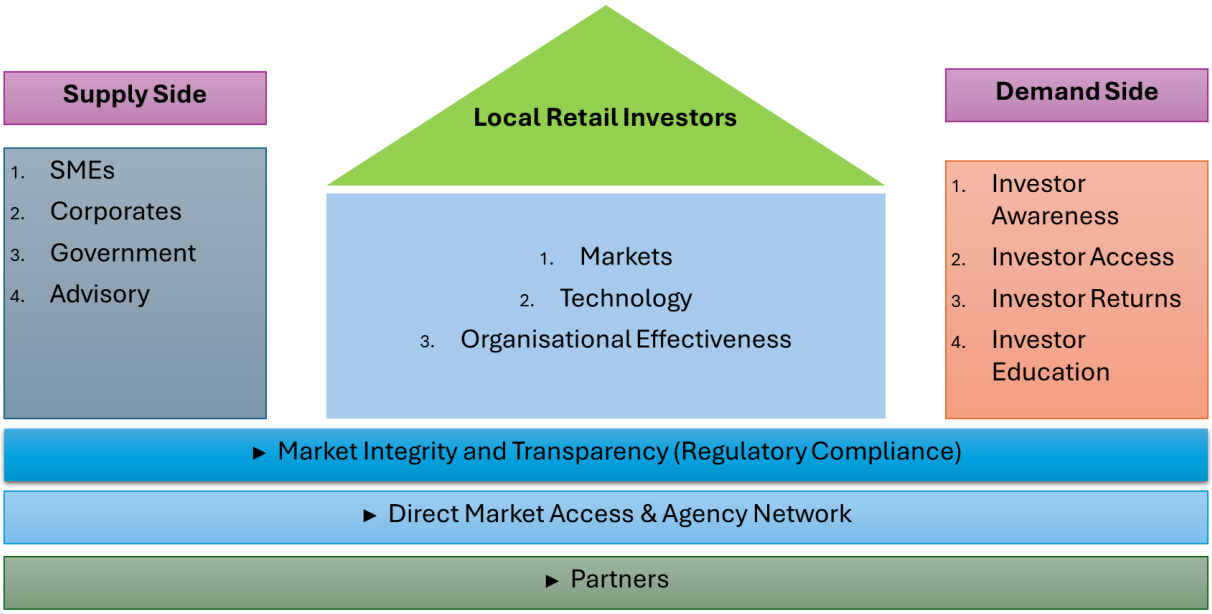


Figure 7: The tip of our strategic spear is the local retail investor

We will invest differentially in attracting local retail investors into our markets. We will revitalize the markets by developing products that are suitable for the supply side of the market to meet the different investment requirements of the demand side investors. We will offer the investors awareness, education, access and returns to make the exchange the preferred investment option for Kenyans. To support this, we will collaborate with our partners to ensure market integrity and transparency through regulatory compliance. We will also implement a DMA supported by market intermediaries and agency network to ensure that we reach all prospective investors in the country. We will build beneficial partnerships to increase the reach of our services.

3.2.2.1. Strategic Objective 1: Revitalize markets.

This strategic objective focuses on revitalizing the markets by strengthening our 'go-to-market' approach; implementing channels that drive accessibility and focusing on branding, marketing, and communication. Figure 8 below gives an overview of our approach to this strategic objective.

Figure 8: Key drivers revitalising markets strategic objectives.

Under this objective we aim to enlist at least 9 million local retail investors through DMA supported by mobile trading apps by market intermediaries and NSE Super-App which will be a one stop shop for all matters investing in the NSE. The two will be supplemented by an agency network of at least 500 agents across the country who will support market intermediaries and the NSE to onboard retail investors across the country. We will also invest in providing business development services to SMEs, corporates and both national and county governments. To this end, we will revitalise NSE Ibuka, NSE Connect and NSE EmpowerHer solutions.

We will rebrand the NSE to showcase our commitment to reaching the retail investor. This will include education and awareness campaigns backed by a robust branding, marketing and communications function within the NSE. We will also invest differentially in public and investor relations.

Our goals under this strategic objective include:

Goal 1: Invigorate the retail market – Achieve 9M active retail investors by 2029: we will focus on attracting at least 9 million active retail investors by 2029 by providing easy access to the NSE. We will deploy our business development agents across all counties in the country and support the implementation of DMA in line with the NSE DMA guidelines approved by CMA in 2019 backed by robust trading platforms. In addition, we will collaborate with partners to introduce capital markets products that appeal to the different trading personas identified during our current assessment to ensure that the different investment needs of investors are met.

Goal 2: Build a highly recognisable and valuable NSE brand – measure NPS/ brand recognition and become Top 10 Most Loved Brands in Kenya by 2029 -we will focus on building a strong brand by defining and fulfilling our brand promise, marketing aggressively to our target markets and communicating succinctly to our stakeholders. We aim to demystify our brand and make it accessible and available to our customers and stakeholders.

Goal 3: Develop and implement solutions, products and programs that meet the needs of the market – Value Delivered by each according to this strategy – we will focus on developing and successfully deploying products, solutions and programs that meet the needs of investors, businesses and government. This will ensure have a wide range of investment options and that our issuers have simplified yet effective solutions to meet their capital and funding needs.

3.2.2.2. Strategic Objective 2: Optimize Organisational Effectiveness

To achieve strategic objective 1, we will need to optimize our organisational effectiveness. This will strategic objective focuses on talent, processes, and structure. Figure 8 below outlines this objective.

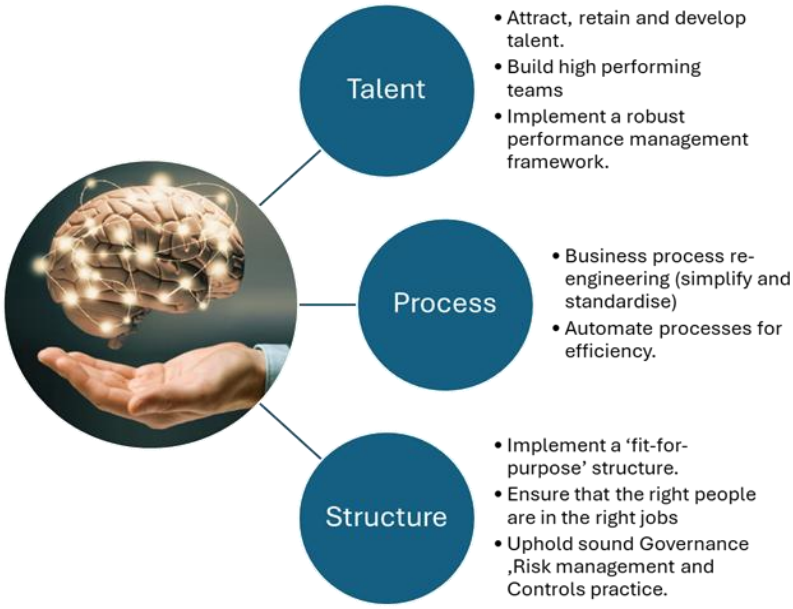


Figure 9: Optimise organisational effectiveness key pillars

We will transform the NSE into a high-performing organisation by attracting, developing, and retaining talent. We will support our talent with the necessary processes and technology backed by the appropriate corporate and organisational structure for efficient and effective governance.

The goals under this strategic objective include:

Goal 1: Improve Employee Engagement – achieve and engagement score of 90% and Top 20 Employer of Choice in Kenya by 2029. This goal encourages us to drive staff engagement through supporting career growth and development, ensuring access to the right tools to serve customers and cascading this strategy to drive unity of purpose across the organisation. Additionally, we will restructure the NSE to ensure that governance and leadership provide the necessary oversight and support for staff members.

Goal 2: Ensure that talent is fit for purpose – Ensure that at least 95% of staff score between 3-4 (2.5% achieve 5) – we aim to support our talent to become high performing teams. We will cascade and support our staff to implement the strategy. As a high performing we will reward high performers disproportionately and offer them opportunities to grow their careers. Our performance management framework aims to continually improve the overall outcomes at the NSE on a year-to- year basis.

Goal 3: Optimize organisational effectiveness – Ensure that once we re-engineer our processes, procedures, and policies, we will maximize adherence to those new policies to drive efficiency and effectiveness.

Goal 4: Implement appropriate technology to support operational effectiveness - measured as a reduction of the total cost of ownership of technology.

3.2.2.3. Strategic Objective 3: Harness Technology

Technological advancement offers the NSE an opportunity to reduce the cost of operation while improving efficiency. To support the objective of revitalizing the market, the NSE will invest in designing and implementing a direct-to-market access (DMA) solution in line with the NSE DMA guidelines approved by CMA in 2019, which will improve access of both institutional and retail investors to the exchange. The NSE will partner with fintechs and technology firms to extend the reach of the DMA and offer application programming interface (APIs) to data resellers. These data resellers will offer the investors and other market participants tools to analyse data and improve decision-making.

Goal 1: Reduce the cost of technology – Achieve 22% percentage cost to total revenues. To achieve this goal, we will have to implement a unified product agnostic platform. We will seek to identify a solution partner rather than a technology partner to offer the NSE a 'software-as-a-service' (SaaS) solution.

Goal 2: Establish NSE Tech and Innovation Hub - We will invest in in-house capacity through the NSE Tech and Innovation Lab, to develop technological solutions for the NSE and other exchanges as well as market intermediaries. We aim to repurpose the technological function within NSE to a profit-centre by investing in our capacity to develop and deploy technologies that can support capital markets across Africa.

Goal 3: Adopt SaaS by onboarding solution providers rather than technology providers – this approach will ensure that we optimize the balanced between capital and operational expenditure. The target for this goal is to ensure that all our technology services are consumed as SaaS solutions by 2027.

The strategic objectives above have been further developed into a corporate balanced scorecard that will be used in our performance management framework.

3.2.3. Our Corporate Scorecard

To monitor the implementation of this strategy we will use the balanced scorecard framework. The framework helps us to balance the outcomes, and the value drivers required to grow the NSE.

The framework will also support the cascading and alignment of the strategy throughout the organisation and will be supported by a performance management framework that outlines performance review cycles and drives visibility across the organisation on what we need to do at each level to achieve our strategy.

4. Implementation Considerations & Plan

To manage the implementation of this strategy, a corporate balanced scorecard has been developed. The balanced scorecard expresses the strategy in four perspectives: Financial, Customer, Internal Processes and Learning and Growth perspectives. These perspectives form a joined-up strategy map.

The corporate balanced scorecard will be broken down into departmental scorecards. Within each department, staff members will receive their individual scorecards that will be used to monitor their performance throughout the strategic process. To keep the strategy relevant, it is important that the strategy is reviewed annually. The strategy review ensures that we can course correct to achieve our stated five-year objectives.

1.2. Performance Management & Strategy Monitoring

Performance management at both the corporate and individual levels will be critical to the success of this strategic plan. The figure below shows the performance cycle we will adopt to ensure that we continually monitor our progress towards our strategic objectives. The performance management process

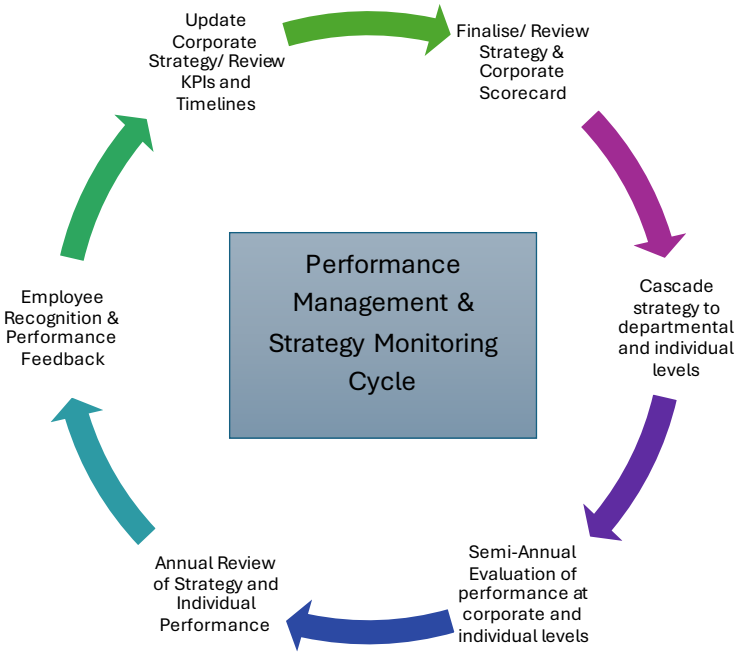


Figure 10: Performance Management & Strategy Monitoring Cycle

1.3. Critical Success Factors & Risks

For this strategy to be implemented successfully the following key critical success factors considered.

1. Development and acquisition of expertise.
2. Investment in tools and resources for employees
3. Strengthening engagement with partners
4. Knowledge and innovation processes
5. Partnerships and collaboration
6. Revitalisation of Brands and marketing

The table below describes each of these factors and risks to be considered for each of the factors.

Critical Success Factor	Importance	Risks	Impact
Enhance expertise in our areas of focus	A key differentiator across the organisation is expertise in our domains. We will need to further deepen our expertise in capital markets and related technology to continue driving innovation.	1. Inability to differentiate on our chosen value propositions to different customer segments and partners. 2. Poor service delivery that could damage our brand and positioning in the sector. 3. Loss of the advantage of being the oldest licensed exchange in the country. 4. Inability to engage with the private sector. 5. Poor execution of the commercialisation of our consulting services.	High
Investment in tools and resources for staff	Staff members who are poorly equipped become frustrated and disengaged and this leads to a drop in productivity and inability to offer discretionary effort.	1. Loss of talent due to frustration. 2. Inability to harness and store knowledge in the organisation. 3. Poor service delivery to our clients and partners.	High
Strengthening engagement with partners	Partners improve our chances of being impactful. A deliberate plan of engagement with defined areas of collaboration are important	1. Loss of partnership and a place at the table to develop programs/ solutions and implement with impact. 2. Unproductive partnerships that are poorly monitored could lead to loss of time and resources.	High
Knowledge and innovation processes	NSE has over the years gained a lot of knowledge which is not centralised. This reduces innovation, learning and growth in the organisation.	1. Failure to manage the knowledge reduces the ability to scale and replicate success. 2. Lack of a deliberate innovation process could lead to missed opportunities for growth and diversification. 3. Attrition of talent would also mean loss of knowledge if a system does not exist to capture, synthesize, and use the knowledge.	Medium
Branding and marketing	Branding is the voice of the organisation to the sector and target economies. A well branded NSE will attracts funders and partners and ensures we are invited to the table. We therefore need to define our niche, breakdown our solutions and offer products, programs and solutions that are accessible cost effective & efficient.	1. Poor branding creates confusion both internally and externally. It makes it difficult to articulate what the NSE is good at and therefore the organisation cannot attract the right partners, investors and issuers 2. Without proper branding the organisation will be overlooked by local retail investors as a viable option for their investments. Local businesses and the government may also not engage the NSE as a source of much-needed capital.	Medium

With these considerations in mind, we have developed a high-level implementation plan that will be refined during the strategy cascading process.

5. Relevant Internal NSE Documents

5.1. NSE Corporate Balanced Scorecard
5.2. NSE Financial Projections
5.3. NSE Strategy Implementation Plan